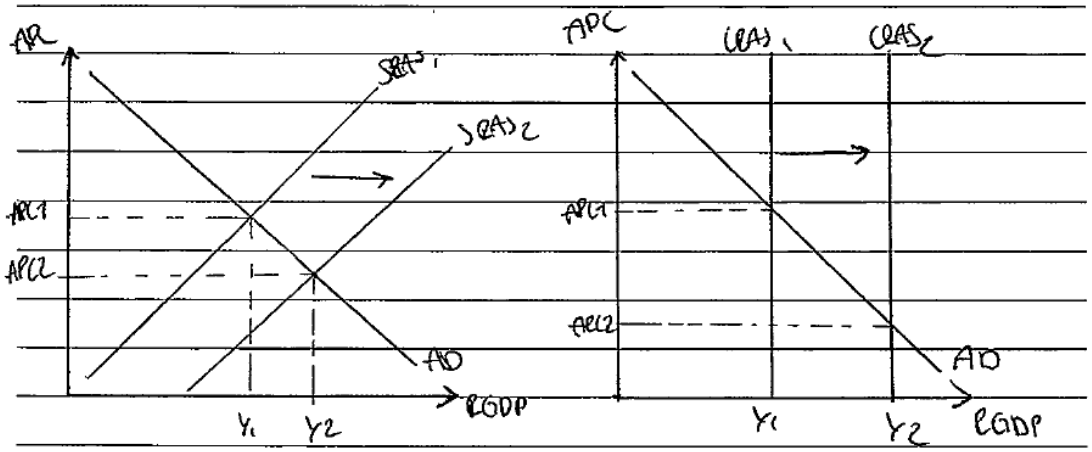
0 2 a) Supply-side polices are polices implemented / controlled by a government that has for objective of increasing an economy's growth in the long-term. Supply side policy are divided inte into two different polices: "Interventionist policies" and Market based' polices and both of them have for objective to increase the long run aggregate supply (LRAS) curve by increase increasing the quantity or quality of the factors of production (land, labour, capital and enterprise). An interventionist policy is the intervention of a government in a particular sector whereas a Market-based policy is done when the government removes itself in a particular sector in order to encourage greater domestic competition for instance.

One of the possible market based policies is deregulation. By removing certain regulation that there are in certain economic sectors, it would allow greater domestic competition and therefore, by the same occasion, improve the international competitiveness of a country. Indeed, ~~there is a great popular sector in an~~ if there is a popular sector in an economy that dominates the market by removing certain regulation of on competition, would allow them to lower

their costs of production (COP) and therefore, allow them to increase production. By doing so, not only will it encourage domestic competition but as the firm will be able to produce more for cheaper, exports will increase as well. If exports increase, international competitiveness of a country improves and it could potentially help the country fix their current account deficit if they have one.

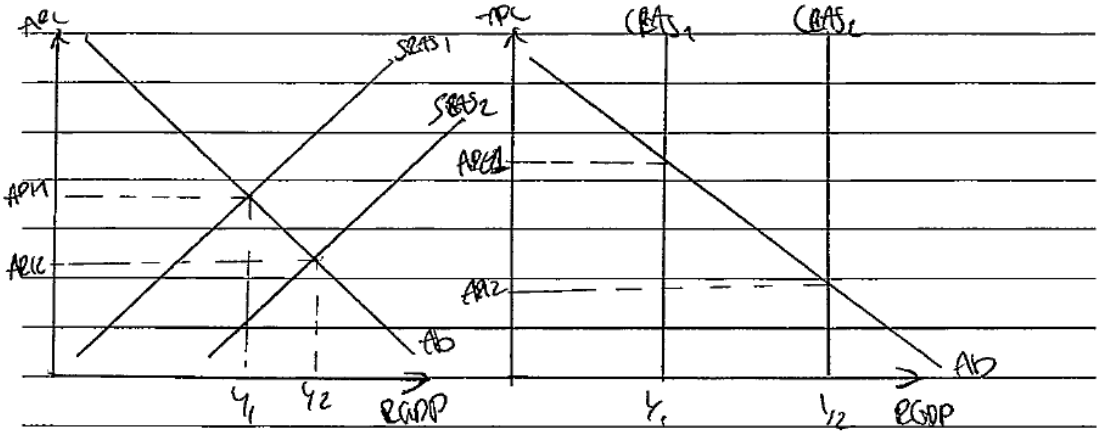


As we can see on these two diagrams, by using a market based supply side policy such as deregulation COP of firms will decrease. This can be represented by the outward shift of SRAS1 to SRAS2 and therefore, average level of prices (APC) decreases and real GDP increases. In the long-run, as we can see on the second diagram, LRAS shifts from LRAS1 to LRAS2 means that by increasing international and domestic competitiveness, economic growth was able to increase from Y1 to Y2.

b) An interventionist supply side policy is one of two possible supply side policies in which the government intervenes in a particular economic sector. The main goal of implementing an interventionist policy is to achieve long-term economic growth by increasing the quantity or/and the quality of the different factors of production (land, labour, enterprise, capital). In order to evaluate the view that the use of interventionist supply side policies is the most effective way of reducing a country's rate of unemployement, we must compare it to other policies such as Fiscal policies.

One interventionist policies that can be implemented in order to reduce a country's rate of unemployement is the increase of government spending on education. Indeed, by doing so, the quality of labour will be increased and in the long-term, it will help reduce ~~the rate of unemployement~~ certain types of unemployement such as structural unemployement will massively decrease. Indeed, nowadays if a person is structurally unemployed it means that their skills are no longer needed in their country's economy and therefore it will be its almost near impossible to find a job. Due to high unemployement rate in Norway, in 2015 the government decided to increase its spending on education in order to achieve higher economic growth. Increasing government spending on ~~edu~~ education in developping countries can also be very useful as most of the time, developping countries rely te much on a single product (PPD = primary product depencing). By increasing the quality of

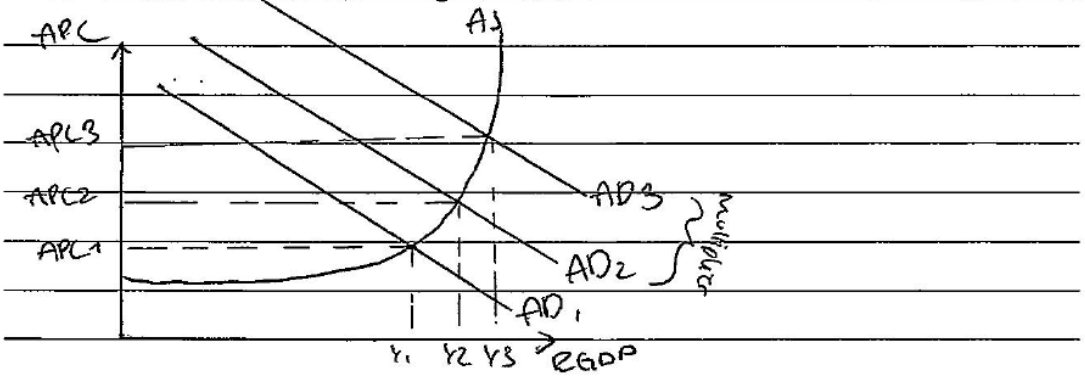
of workers and teachers then new skills, the economy would be able to diversify and stop depending on a single product. For instance, Nigeria decided to double its spending on education by 2015 in order to reduce their rate of unemployment and also achieve greater economic growth.



As we can see on these two diagrams, ~~if the government decides to~~ by increase their government spending on education, both Norway and Nigeria ~~will~~ decrease their APC and increase their GDP and their output and as a result reduce the unemployment rate.

However, one of the main drawbacks of ~~increasing~~ increasing government spending on education is the opportunity cost. By ~~deciding~~ deciding to increase their ~~spending~~ spending, the government is "sacrificing" any potential other actions that could be more beneficial. Furthermore, when deciding ~~to~~ increase spending on education, the time lag is huge and therefore, ~~economies~~ economies such as Norway's and Nigeria will have to wait a long time before it starts having an impact.

Another policy that could be used in order to reduce the rate of unemployment in an economy is fiscal policy. Indeed, ~~that can be~~ in order to conduct an expansionary fiscal policy, central banks would have to either reduce income taxes or corporate taxes. Bangladesh's board of revenue decided to cut corporate taxes. ~~The~~ Bangladesh's board of revenue slashed corporate taxes for non-listed companies from 25% to 22.5% and for listed companies slashed taxes from 32.5% to 30%. By doing so companies will be able to use the ~~def~~ extra profit ~~it~~ and invest it into the economy. By doing so, more money is injected / circulating in the economy and as investment is one out of four components that compose the aggregate demand (AD), AD ends up shifting as well. AD = C + I + G + Nx.



As we can see on this diagram, by reducing corporate taxes, firms invest more into the economy and therefore, AD shifts from AD_1 to AD_2. As a result of that unemployement decreases as RGDP and output are increasing. Cyclically unemployed people will be the ones being the most effected as their employement is rely entirely on AD. Furthermore, having firms invest more money into the economy could potentially create a multiplier effect and therefore, even more money is circulating in the economy and as a result, unemployement decreases even more. It created a vicious cycle.

However, one of the main disadvantages of using a fiscal policy is that demand-pull inflation increases massively, especially if their is a multiplier effect. Indeed, average level of prices will continuously keep increasing, therefore, living standards and costs for basic needs will also increase and as a consequence, poverty will also increase in Bangladesh's country.

In conclusion, due to the major time lags and the opportunity cost that it represents to a government to increase its spendings, I do not think that interventionist supply side policy is the most effective way of reducing a country's rate of unemployement. Other policies such as fiscal policy that we used to compare or even monetary policies are far more effective in order to reduce the rate of unemployement.